

Article | 18 June 2026

What the US-Iran Memorandum of Understanding means for macro and markets

The US and Iran have signed a preliminary MoU outlining a ceasefire, some economic concessions and the reopening of the Strait of Hormuz, triggering market relief but marking only the start of negotiations rather than a final deal



US President Donald Trump and Iranian President Masoud Pezeshkian have signed a peace deal

Now it's official. Last night, US President Donald Trump signed the Memorandum of Understanding (MoU) between the US and Iran in Versailles. According to news reports, Iranian President Masoud Pezeshkian also signed the document on Wednesday.

The MoU between the US and Iran outlines the terms of their ceasefire, the reopening of the Strait of Hormuz, some financial relief for Iran, and Tehran's renewed pledge to never produce a nuclear weapon. Under the draft agreement, the US will allow Iran to sell its oil and petrochemical products, and Tehran may be able to tap into a US\$300bn development fund if it meets commitments related to its nuclear programme in further negotiations. The document does not include specifics on what will become of Iran's highly enriched uranium. With the signing of the MoU, a 60-day (though extendable) negotiation period starts, in order to flesh out further details.

The relief in financial markets after the initial Sunday evening announcement was palpable – relief that a three-and-a-half-month war could be nearing its end. We will leave it to the real geopolitical analysts to decide whether the world has become a better place under the new deal compared with the situation in February. For now, it appears the MoU may have softened some of the red lines set by the US in the early stages of the conflict. What is clear, however, is the fact that the MoU is not yet a deal but rather the start of negotiations and the agreement to open the Strait of Hormuz during these negotiations. Whether these negotiations will eventually succeed is a different matter.

On a different note, and at least for a short while, recent developments have brought the US and the rest of the G7 closer together. This week's G7 meeting must have been one of the more harmonious meetings in recent times. But before getting overly enthusiastic about a new spring of multilateral relations, that harmony may simply reflect pragmatism: the US government needs some backing from Europe for the negotiations with Iran, and Europeans need some US backing for potential negotiations with Russia.

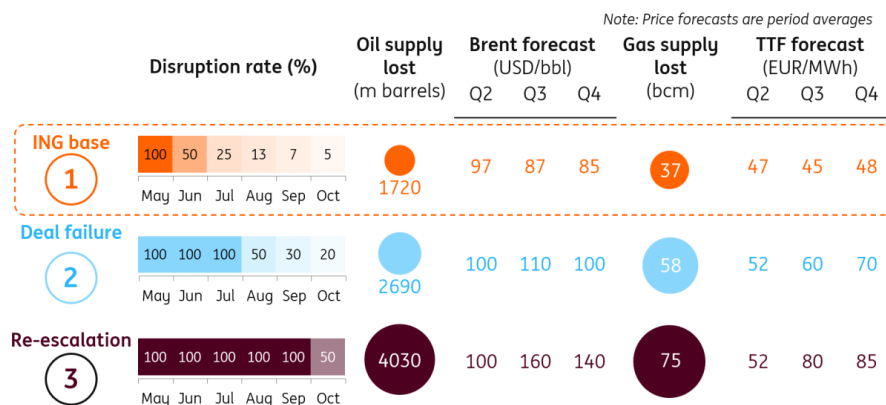
So, the relief in financial markets should not be mistaken for a complete dissolution of geopolitical risks but rather as a reaction to the reopening of the Strait of Hormuz. Oil prices have dropped already, taking away some recent inflation fears. In our view, however, markets may be slightly [too optimistic regarding the speed of the reopening](#). Mines will have to be discovered and removed, insurance premiums will have to be determined and vessels will actually have to be loaded and start passing through the Strait again. This will be a very gradual process. It should take several months before traffic in the Strait will be back to pre-war levels.

With relief in oil markets, the recent wave of inflation will not stop abruptly, but it will be shorter-lived than assumed just a few weeks ago. For central banks, it could bring back the infamous word 'transitory', giving central bankers even more of a headache in terms of whether to hike interest rates or not.

Even though we [released our last Monthly Update](#) a week ago, the latest developments clearly call for an update of our forecasts. This is why we have developed new oil price scenarios based on those updated macro and market forecasts. The bottom line is that inflationary pressures will be slightly shorter-lived, the adverse impact of higher energy prices on growth will be more limited and central bankers will be more reluctant to hike aggressively, or to hike at all. Except, perhaps, for the European Central Bank, which has pushed itself into a corner, making it harder to wriggle out of a second rate hike. Some ECB officials might already regret the timing of the ECB's meeting calendar....

If the MoU really is the start of successful negotiations, we could eventually return to a macro world that we had actually expected at the start of this year: a gradually recovering global economy with risks of inflation undershooting and central bank rate cuts. An almost beautifully boring economic outlook, or is that wishful thinking?

Our new energy scenarios



Source: ING

Our new oil price scenarios

Base case: This is it – we have a deal!

A 60-day ceasefire is signed and both sides work towards a more permanent deal. This is difficult to reach given the sticking points. However, the US and Iran manage to agree a longer-term deal, even if it doesn't fully address all the issues. As a result, blockades are lifted, allowing tankers to leave the Persian Gulf, although it will take time to remove mines from the water. The signing of the deal, however, gives shippers confidence to send vessels into the Persian Gulf, allowing for a quick recovery in flows through the Strait of Hormuz.

A willingness for shippers to return to the Persian Gulf allows upstream production to return at a quicker pace. An easing in some Iranian sanctions means that Iranian exports bounce back, with exports eventually above pre-war levels.

Scenario 2: 60-day negotiations get stuck

This scenario is essentially aligned with our previous base case. After the signing of the MoU, the negotiations get stuck, and we see some minor re-escalation as a result. Energy flows remain heavily constrained until the end of July. The market reaches an inflection point around this period, where prices spike higher due to increasingly tight stocks. These higher prices lead to renewed efforts to come to a deal which sees Strait of Hormuz oil flows resuming.

Scenario 3: Re-escalation

The 60-day negotiations break off at some point, followed by significant re-escalation between the US and Iran. Strait of Hormuz flows remain heavily constrained due to attacks/strikes resurfacing. Iranian proxies get more involved. The Houthis disrupt Saudi Red Sea oil exports while the UAE's Fujairah is targeted, along with regional energy infrastructure.

Essentially, this heavily disrupts flows until at least year-end, with peak disruption over 3Q, a seasonally stronger period of demand. Prices need to spike higher to ensure adequate demand destruction to rebalance the oil market.

Our calls for central banks

Federal Reserve: Despite a more hawkish Fed, we continue to think a prolonged pause is more likely than a rate hike. Our base case has inflation coming down to 3.6% in the fourth quarter and close to the 2% target by next summer. That's on account of subdued wages, falling energy prices, fading tariff impacts and slowing housing inflation.

European Central Bank: After last week's decision, we still expect a second rate hike this summer, even with the fall in energy prices. Yet inflation is now set to peak lower and is likely to fall towards 3% in 4Q in our base case. Once it becomes clearer that there's minimal sign of second-round effects, and in the absence of a pick-up in growth, we look for a single rate cut in mid-2027 to unwind some of the "insurance" provided by this summer's tightening.

Bank of England: The Iran deal has made the BoE's life easier and a prolonged pause now looks likely. Inflation is set to peak around 3.5% and officials, on balance, seem to be more confident that second-round effects will be minimal. We agree and see a return to rate cuts in 2027.

Our new scenarios

	18 June	① ING Base				② Deal failure				③ Re-escalation			
		Q2	Q3	Q4	Q4 2027	Q2	Q3	Q4	Q4 2027	Q2	Q3	Q4	Q4 2027
Brent Crude (USD/bbl)	78	97	87	85	72	100	110	100	77	100	160	140	90
Dutch TTF gas (EUR/MWh)	41	47	45	48	32	52	60	70	43	52	80	85	55
US Inflation (YoY%)	4.2%	3.9	3.5	3.6	2.2	3.9	4.4	4.3	1.6	4.1	6.0	6.8	0.4
Eurozone Inflation (YoY%)	3.2%	3.2	3.3	3.0	1.9	3.2	3.9	3.8	1.8	3.3	5.8	5.9	1.8
ECB Deposit Rate (%)	2.25	2.25	2.50	2.50	2.25	2.25	2.50	2.50	2.25	2.25	2.50	2.75	2.50
Fed Funds Rate (%)	3.75	3.75	3.75	3.75	3.25	3.75	3.75	3.75	3.25	3.75	4.00	4.50	2.50
2Y EUR swap rate (%)	2.82	2.80	2.80	2.70	2.55	2.90	2.90	2.75	2.55	3.00	3.10	3.20	2.30
10Y EUR swap rate (%)	2.99	3.00	3.00	2.95	3.05	3.15	3.15	3.10	3.05	3.20	3.25	3.30	2.80
2Y USD swap rate (%)	4.05	3.90	3.90	3.85	3.25	4.00	3.95	3.85	3.25	4.20	4.25	4.30	2.50
10Y USD swap rate (%)	4.05	4.00	4.00	3.95	3.95	4.10	4.10	4.10	3.95	4.15	4.20	4.25	3.50
EUR/USD	1.1470	1.15	1.17	1.18	1.22	1.14	1.15	1.15	1.20	1.12	1.07	1.09	1.18

Source: ING

Rates: Balance of risks tilted towards higher rates in the near term

Well before this deal, US breakeven inflation rates had been falling. They are now back to where they were before the war started, which is quite remarkable (US 10yr breakeven at under 2.3%; a perfect score). US real yields are structurally higher by some 40bp since before the war, which, again, is quite remarkable. We doubt they collapse lower, which is why the 10yr yield will remain elevated. The 10yr yield is holding in the 4.45% area, where it has tended to hover in recent weeks. The 10yr real yield is just above 2%, which is broadly a neutral valuation, one that we saw before the GFC / pandemic-impacted years. Barring a recession, it can hold here.

In the eurozone, the 10yr rate (take your pick of the German 10yr or Euribor) has dipped decisively below 3% as the agreement has crystallised. The big driver here is the fall in breakeven inflation, which is now down to 2% in the 10yr. It was previously at 2.4%. The juxtaposition here is between this and printed inflation in the 3% area (and still on the rise). Our gut feeling is that the 3% area is a logical staging post for the 10yr Euribor rate, while for the 10yr Bund yield, it's a range between 2.75% and 3% for the foreseeable.

Oil continues to be an important driver for rates, which means we can still expect more volatility going forward. Having said that, markets have turned more hawkish on central bank expectations, which limits the downside if oil were to drift lower. For the ECB, we identify support of at least one more 25bp hike which markets seem reluctant to break. Markets are taking the view that the damage has been done in terms of inflation and the ECB does not seem to give any pushback to this notion.

In effect, that means EUR 2Y rates will likely stay around current levels for longer or move higher if oil were to tick up again. Only later this year, when we get confirmation of benign second-round inflation effects, do we see more scope for 2Y rates to come down.

In a re-escalation scenario, we continue to see significant upside risk for rates in the near term, but the endgame should bring rates lower. A surge in oil prices and geopolitical uncertainty would weigh on growth, forcing both the ECB and Fed into a more extended easing cycle. Therefore, once the initial inflation shock eases around mid 2027, we see rates coming down sharply across the curve on the back of recession risks.

FX: Softer energy profile should limit euro downside

Our adjustment lower in baseline energy prices means we are modestly raising our EUR/USD profile. We now see it ending the year near 1.18. Of course, that runs against the current dominant narrative in FX markets, which is a more hawkish Fed. Our preferred scenario now sees EUR/USD pressured over the next couple of months near 1.14/15, but turning higher into year-end on our call that US data will not support Fed rate hikes.

Currently, we are not looking for a sustained break below 1.14/15 because we doubt the market will price in more than 50bp of Fed tightening during what, after all, should be an adjustment in policy settings and not an outright tightening cycle.

The alternative scenarios, with higher energy prices, remain more bearish for EUR/USD. Those lower levels look even more likely in an energy shock, now that we know the Fed is closer to tightening policy.

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THINK economic and financial analysis

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FX CHINA INDIA

What the US-Iran peace deal means for Asia

The peace deal and partial resumption of oil flows reduce near-term inflation risks, giving some central banks (notably Taiwan and India) room to delay tightening. However, a broad pivot remains premature, as still-elevated oil prices, rising food price risks, and second round effects keep the policy stance asymmetric and biased towards caution



Supply relief and sentiment boost

The US-Iran peace deal should come as a significant relief for Asia, given its heavy reliance on imported energy and vulnerability to disruptions in Middle East shipping routes. As details firm up, [our base case](#) assumes around 50% of oil flows through the Strait of Hormuz resume by end-June, with full reopening only by end-2026. Even a partial restoration of flows should meaningfully ease tightness in physical markets and reduce precautionary inventory hoarding. This, in turn, is likely to support a rebound in consumer and business sentiment, particularly in countries where recent supply uncertainties had begun to weigh on confidence and activity.

Disinflation across Asia, with South-East Asia likely to lead the way

Lower oil prices will also be crucial in easing inflation pressures across Asia, particularly

through food and fuel channels. The Philippines has seen the sharpest rise in the contribution of food and fuel to inflation and should therefore be among the biggest beneficiaries of any sustained decline in oil prices. Meanwhile, economies with high import intensity, such as India and Thailand, are also likely to see meaningful relief as lower energy costs feed through into transport, food distribution and broader price dynamics.

Relief coming, but normalisation will lag as input costs are still elevated

Sectors such as petrochemicals, steel and rubber have borne the brunt of this margin compression, driven by elevated oil prices alongside higher freight and feedstock costs. A de-escalation in US–Iran tensions should bring some relief, particularly via lower energy and naphtha prices, helping to stabilise cost structures. However, the recovery will not be immediate. Supply chains – especially in fertilisers and other commodities, are likely to normalise only gradually, as shipment backlogs and logistical bottlenecks take time to unwind, even as traffic through the Strait of Hormuz improves.

While large economies such as India, China, Korea and Japan were partly insulated from global oil price spikes via subsidies and administrative controls, supply disruptions still pushed up input costs across manufacturing supply chains. Industries faced higher freight charges, longer delivery times and rising feedstock costs during the peak of tensions. Although input cost pressures have eased from their March–April highs, they remain above pre-conflict levels. With output prices adjusting more slowly due to weak pricing power and incomplete pass-through, corporate margins – especially in energy-intensive sectors – continue to face sustained pressure.

Rate pivot still premature, though some central banks can delay hikes

Despite the peace deal, it remains premature to call a turning point in Asia's rate hike cycle. Central banks across the region operate with different policy reaction functions: [the Philippines](#), for instance, focuses heavily on CPI inflation, as seen in its recent policy responses, while [Bank Indonesia](#) places greater emphasis on currency stability as its primary objective.

Even with some easing in energy-driven inflation, policymakers are likely to remain cautious.

First, oil flows are expected to resume only gradually, and the need to rebuild depleted stockpiles could keep upward pressure on demand, leaving uncertainty around the durability of any price correction. We expect Brent to average around USD 87/bbl in 3Q, still roughly 30% above pre-war levels. This could give some room for governments such as the Philippines, which did not heavily subsidise fuel, to roll back part of the earlier hikes. Gasoline prices in the Philippines have risen by around 40% since the start of the conflict; a 10% rollback could lower

CPI by about 50bp, bringing our 3Q inflation forecast to 6.5% – still well above the 4% upper target. As such, a more sustained and deeper decline in oil prices would be needed for the Bangko Sentral ng Pilipinas to reconsider the 75bp of additional rate hikes we have pencilled in for the rest of 2026.

Second, food prices remain vulnerable to weather-related shocks, particularly the rising probability of a strong El Niño—which could keep overall inflation volatile. Food-driven price pressures have already been broad-based: in the Philippines, the contribution of food to inflation has more than doubled, rising to 2.2pp in May 2026 from around 0.6pp earlier in the year.

India, Indonesia, and Thailand have also seen an uptick in food contributions to headline inflation, albeit more modestly at around 0.3–0.45pp. That said, still-moderate inflation levels in these economies and emerging downside risks to growth should give central banks some room to remain patient. For now, a wait-and-watch approach is likely, with policymakers closely monitoring how weather-related disruptions feed through to food and core inflation dynamics.

Improved growth prospects firm up the case for rate hikes in Korea and Japan

Despite heavy reliance on Middle Eastern energy, South Korea and Japan have so far limited the impact on growth and inflation through price caps, subsidies, fiscal support, and energy import diversification from non-Middle East countries. With the latest energy scenario, we see more upside risks for growth and a more limited impact on inflation.

Korea has temporarily restricted exports of petroleum products such as naphtha to secure domestic supply, while Japan released its strategic oil reserves to mitigate the shortage of energy supplies. A peace deal would boost 3Q26 growth slightly more than expected. Improving energy supply should support growth by easing pressure on key industries and lifting confidence. For example, it should allow Korea's petrochemical output and exports to rebound and Japan's auto exports to the Middle East to recover. Restocking energy and critical materials by companies and governments should lift imports as well. More broadly, the AI boom should continue to support both economies, with Korea and Japan benefiting from strong chip exports and potential longer-term gains from post-war reconstruction, renewable-energy investment, and higher defence spending.

Meanwhile, the impact on inflation from the peace deal is likely to be limited given that inflation in both countries (3.1% year-on-year in Korea and 1.4% YoY in Japan) has been suppressed by policy measures. These temporary anti-inflation measures will be lifted once global energy prices come down. Thus, the decline of energy prices in coming months is unlikely to be significant. Meanwhile, demand-side pressures are expected to strengthen on the back of strong asset-market rallies, rising labour income, and weak currencies. We expect

CPI to accelerate in the coming quarter, above 3.5% in Korea and 1.9% in Japan.

As stronger growth is likely to feed into inflation, we see an increasing probability that both central banks may accelerate their hiking cycles, moving faster and ultimately further than previously expected. The Bank of Korea may need an additional hike beyond our current 75bp base case, likely in 2027. For the Bank of Japan, its next move could come earlier in October rather than December if the yen weakness and firm underlying inflation persists.

Rate hikes in Taiwan could be delayed if peace deal holds

In Taiwan, we previously made upgrades to our GDP forecast despite the potential for an oil supply shock. Our 10.5% YoY 2026 GDP forecast is already among the highest in the market, and we will maintain this forecast for now. A peace deal removes some of the potential downside risk for growth. Given Taiwan's heavy energy import dependence and limited oil reserves, falling oil prices will have a bigger impact on inflation compared to our previous scenario. We revise down our CPI inflation forecast from 2.1% to 1.9% YoY. The previous scenario of oil prices peaking in 3Q prompted our call for the central bank to hike in 3Q26. We still have this rate hike pencilled in for now after a June hold from the central bank, with a few members already dissenting in favour of a rate hike and Governor Yang commenting that monetary policy should be "slightly hawkish". However, if we do get a lasting peace deal leading to lower energy prices and inflation proves to be under control, the rate hike could well be delayed again, potentially to as far as 2027.

Shifting oil price dynamics may also give India's central bank some room to delay or reconsider further tightening. Nevertheless, we continue to expect Korea and Japan to deliver anticipated rate hikes, with a rising probability of more and sooner. And a pivot away from rate hikes remains unlikely in the Philippines unless food inflation and FX pressures reverse materially. All things considered, monetary policy in Asia is still set to remain tighter for longer than markets anticipate.

Asian currencies stabilising but will need more for a turn

A third factor keeping Asian central banks hawkish is the performance of FX. Indonesia's rupiah, the Indian rupee and the Thai baht have fallen the most against the US dollar this year. These currencies will likely need more than just a softer dollar to stage a sustained recovery, especially in an environment where US inflation remains sticky and the Federal Reserve's recent hawkish pivot limits downside for the dollar.

For a more durable turnaround, stronger local drivers will be crucial. The Indian rupee and Thai baht have been hit by their high exposure to energy imports, with weaker external balances driving much of the depreciation. For this to reverse, a sustained improvement in the terms of trade – via lower oil prices – alongside a rebuilding of capital account positions will be key. Until then, FX vulnerability is likely to remain a constraint on how quickly regional central banks can

pivot away from tightening.

We see relatively more support for the Indian rupee, which still has policy levers at its disposal. Recent capital measures announced by the Reserve Bank of India should help plug the balance of payments gap, leaving us relatively constructive on INR. In contrast, investor concerns around Indonesia's recent policy direction may continue to weigh on sentiment, suggesting IDR could lag its regional peers.

In North Asia, both the KRW and JPY have weakened significantly, though easing geopolitical tensions and a narrower Fed-BoK/BoJ rate gap should provide some relief. For the KRW, USD/KRW is likely to remain above 1,500 in the near term despite Korea's exceptionally large trade surplus, as capital outflows remain sizeable. For the JPY, global dollar moves linked to Fed rate expectations should remain the dominant driver, while the BoJ's gradual hiking pace is unlikely to provide meaningful near-term support. As a result, USD/JPY is likely to stay near 160 for the foreseeable future.

The TWD has been tightly managed and range-bound during the Iran war. Given the backlash after last year's sudden spike, greater care may be taken to smooth out volatility in the TWD, which complicates forecasting. In a vacuum, a successful peace deal should contribute towards a stronger TWD.

CNY outperformance could fade if peace deal holds

Given China's general stability, we are not making substantive changes to the GDP growth forecast of 4.7% because of the peace deal, though the deal does improve the outlook at the margin, and avoids a potential downgrade that may have been necessary in the event of a prolonged supply shock.

Lower oil prices will take some momentum out of the recent reflation momentum. We slightly trim our CPI inflation target from 1.3% to 1.2% YoY. There is also a possible implication on policy support. While the Iran war did not necessarily preclude another rate cut, rising inflation and global central bank tightening may have complicated the equation.

A peace deal and lower oil prices should remove this uncertainty and allow for the People's Bank of China to ease in the second half of the year. Given the marked slowdown of domestic activity data in the second quarter, pressure could pick up to support growth.

The Chinese yuan has been the top performer against the US dollar during the Iran war. While we see it continuing to appreciate against the dollar, its relative outperformance is likely to fade if the peace deal holds, and the CNY trade-weighted basket could decline moving forward as other currencies recover.

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FX TRADE CHINA

Still king – why the petrodollar isn't going anywhere soon

Recent tensions in the Middle East have revived debate about whether the petrodollar system is starting to fragment. Our answer is a cautious one. Some diversification in oil trade settlement is plausible, but the bigger question is where Gulf oil savings are ultimately invested. On both fronts, change looks gradual rather than transformative



Calling an “end of the petrodollar” would be a bold claim, with any shifts in the story likely to be slow-moving

Recent tensions in the Middle East have brought the petrodollar debate back into focus. The immediate market question is whether disruptions to energy trade could accelerate the use of non-dollar currencies in energy-related transactions. That matters because any such shift would add to the broader debate about the global role of the dollar.

Still, declaring “the end of the petrodollar” would be a strong call. As with other [de-dollarisation](#) themes we’ve covered, the reality seems to be less dramatic than the media headlines. We support the approach of looking separately at trade invoicing and asset allocation. On the trade side, China’s growing importance as a buyer of Gulf energy, the gradual build-out of renminbi payment infrastructure, and renewed interest in alternative payment channels are all relevant. But the international role of the dollar also depends on where the savings of major energy exporters are ultimately allocated.

That is the key question we address in this article; the broad conclusion is that some petro-

settlement and investment activity may become marginally more diversified, but the core of the petrodollar system still looks much harder to dislodge.

Executive summary

- **Shift in oil settlement: evidence inconclusive.** March 2026 saw a pick-up in renminbi settlement activity via China's Cross-Border Interbank Payment System (CIPS), coinciding with the outbreak of the Iran war, but volumes moved closer to normal in April and May. SWIFT trade finance data also shows only a modest March spike after an earlier upward trend in 2022–2024. **China's growing role in the Gulf is a watch factor**, with its share in GCC exports and imports nearly doubling over the past decade to about 21%, alongside a build-up in non-dollar settlement infrastructure through the UAE-China swap agreement, mBridge cooperation and the UAE central bank's memorandum of understanding with CIPS.
- **The Gulf keeps accumulating oil savings, putting SWF allocation in focus.** Excluding Saudi Arabia, the GCC is projected to run combined current account surpluses of roughly \$150bn per year over the next five years, implying \$0.8tr in cumulative external savings through 2030. Gulf sovereign wealth funds hold around \$6tr in assets, with the UAE estimated at about \$2.7tr, leaving the key question of where these pools of oil wealth are ultimately invested. **GCC is USD-heavy by global standards**, with 69% of BIS-tracked international assets in US dollars versus 46% globally. This does not capture sovereign wealth funds directly, but it does suggest that Gulf external finance is more dollar-heavy than the global norm.
- **What might Gulf de-dollarisation look like?** From the invoicing angle, China's share in GCC trade points to an upper bound of about \$300bn in annual flows that could be yuan-settled in an extreme case. From the asset side, any de-dollarisation would more likely show up through slower new inflows rather than reallocation of the existing stock. Even a reduction in new USD allocations below roughly \$100bn per year would already represent a move in that direction.
- **GCC in the global context: central but not exclusive.** The Middle East accounts for around one-quarter of global fuel exports, while fuel trade makes up only 10–12% of global merchandise exports, limiting the impact on global de-dollarisation. **Broader de-dollarisation remains slow**, suggesting scope for gradual diversification rather than a decisive break with the dollar. [The euro](#) or RMB could use their strengths to create marginal competition with the dollar, but the dollar system still looks far more resilient than the louder de-dollarisation narratives imply.
- **Market implications:** Dollar dominance in GCC energy invoicing contributes to

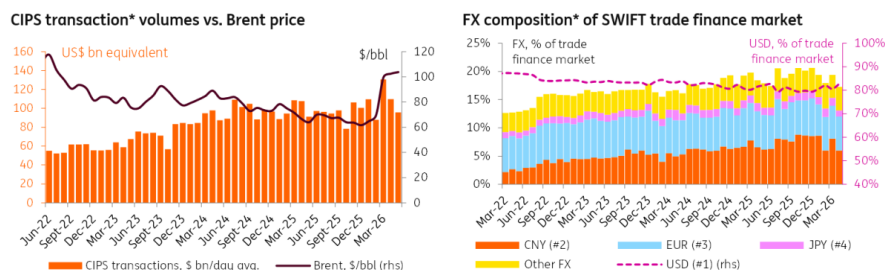
network benefits, while dollar funding markets proved resilient during the peak of the crisis in March.

Shift in oil settlement: evidence inconclusive

The new war in the Middle East has revived interest in whether the search for non-dollar energy invoicing could gain pace. Yet publicly available data remains limited, and the available evidence is mixed. The pick-up in renminbi settlement activity in March via CIPS has been cited by some observers, including [the European Central Bank](#), as an indirect sign of a shift in energy invoicing.

So far, however, the evidence remains inconclusive. After a spike in March, CIPS volumes returned closer to normal in April and May, despite the ongoing tensions in the region. SWIFT trade-finance data tells a similarly cautious story: renminbi usage had already been trending higher in 2022-2024, but the increase in March 2026 was relatively modest and was followed by some retrenchment in April.

The spike in CNY transactions in March appears to be a one-off so far



Source: ECB, CIPS, SWIFT, ING; * adjusted for FX revaluation effects

China's growing role for the Gulf is a watch factor

It is important to understand where the expectation of a growing renminbi role in Gulf fuel trade is coming from. Unlike Russia or Iran, GCC countries are not operating in a sanctions environment and remain broadly free to choose their settlement currency mix. The case for greater renminbi usage would therefore be mainly commercial.

The commercial logic starts with trade geography. China's share in GCC exports and imports has nearly doubled over the past decade to around 21%.

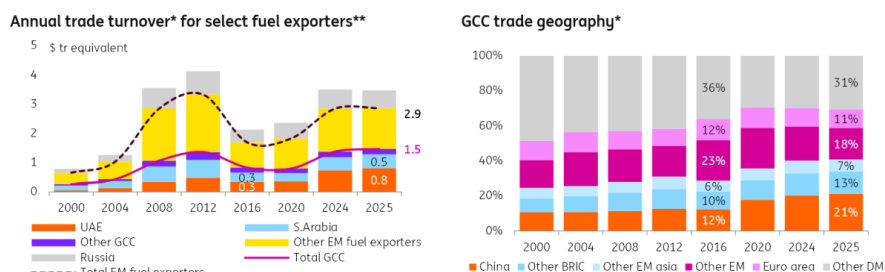
China's share in GCC exports and imports has nearly doubled

over the past decade to around 21%

Just as importantly, Gulf trade has become more tilted towards emerging markets, which now account for around 60% of the GCC's external trade mix – the reverse of the picture 25 years ago.

This matters for the global energy story because the GCC itself accounts for 51% of the total external trade turnover of all EM fuel exporters in the IMF's definition, which excludes Russia (as a more diversified commodity producer). It is also notable that within the GCC, the UAE has overtaken Saudi Arabia in terms of total external trade volumes in the last 10 years.

China's share in GCC trade flows nearly doubled in the last 10 years to 21%



Source: IMF, ING; * Sum of exports and imports, share of China includes Hong-Kong and Macao; ** Russia in not part of IMF EM Fuel Exporters aggregate

From the global trade and multipolar perspective, some energy transactions may gradually become less exclusively dollar-based as China deepens its trade links with major exporters and as alternative payment infrastructure develops. The [UAE-China swap agreement](#), [mBridge](#) cooperation and the UAE central bank's [MoU with CIPS](#) all point to a slow build-out of the relevant infrastructure.

As for China's RMB internationalisation, the process has seen ebbs and flows over the past two decades, but is gradually moving along, with increasing RMB trade settlement and payment shares over the years. As China's trade clout grows and it becomes the largest trading partner for more countries, a natural consequence has been a shift towards RMB-denominated settlement.

An important new development which emerged during the Iran war was when Iran requested payments to be made in Bitcoin or CNY. This is a sign that countries are considering CNY as an alternative to the traditional dollar system, an option which can help avoid US sanctions. Geopolitical developments have and could continue to play a role in the RMB's adoption globally.

Policymakers have been prioritising financial stability over speed of internationalisation, and

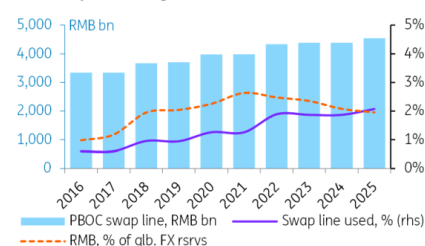
this is unlikely to change, even with a perceived window of opportunity from de-dollarisation trends. A lack of full capital convertibility continues to weigh on RMB internationalisation, while there appears to be relatively limited appetite for the RMB as a reserve currency.

Nonetheless, efforts continue to be made in this direction, as President Xi Jinping has stated that China must have a “powerful currency”. The People's Bank of China just announced a new repo facility to be made available to foreign central banks, international financial institutions, and sovereign wealth funds, accepting RMB-denominated collateral such as Chinese government bonds, central bank bills, and policy bank bonds. This would allow for foreign institutions to tap into the current low interest rates in China, and could encourage further RMB usage.

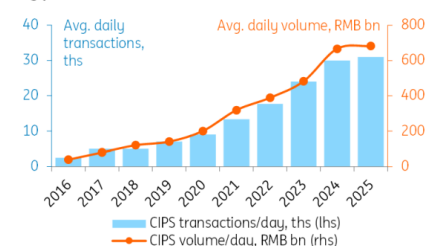
China currently has 32 currency swap lines set up, worth up to RMB4.5tr, and these swap lines have increasingly shifted from symbolic agreements to actively used liquidity tools. By the end of 2025, the outstanding balance of RMB drawn by overseas central banks stood at RMB94.2bn.

China continues building infrastructure for RMB internationalisation

PBOC swap lines, usage, and RMB's reserve role*



Key parameters of CIPS transactions



Source: PBOC, ECB, IMF, ING; * Pre-2025 shares of RMB in global FX reserves adjusted for FX revaluation

Overall, higher Gulf exposure to China is not a death sentence for the dollar as a petro-currency. The rising role of China in global trade does not automatically translate into a comparable rise in the role of the renminbi. And if Gulf economies continue to invest heavily in domestic fuel, logistics and defence infrastructure, imports are still likely to remain diversified across both developed and emerging market partners.

On the subject of swap lines, much was made earlier this year of the UAE's request for a standing dollar swap line to join the elite club of the eurozone, Japan, the UK, Switzerland and Canada. This story has gone quiet over recent months, but one can only conclude that the UAE still sees itself very much part of the dollar universe – anchored, of course, by the USD/AED peg.

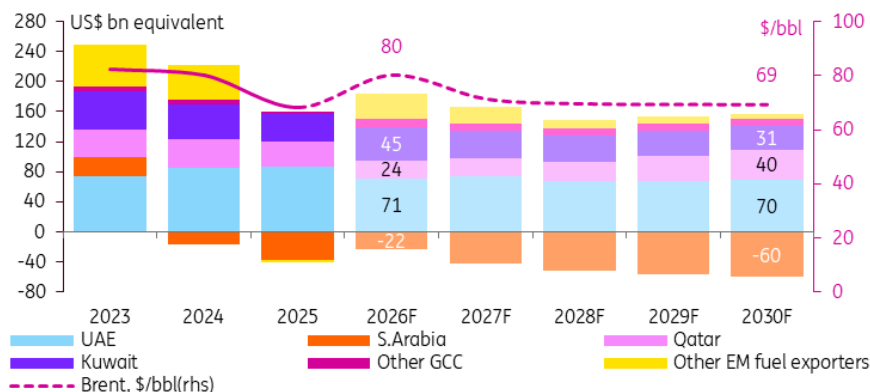
The Gulf keeps accumulating oil savings...

The more important question for the dollar story is not just how Gulf exports and imports are invoiced, but whether the region still generates external surpluses large enough to matter for global capital markets. Some have argued that rising domestic expenditure and imports mean the GCC no longer produces large enough current account surpluses to remain relevant as a capital exporter.

IMF projections imply a cumulative current account surplus of around \$0.8tr through 2030 that will need to be allocated by the GCC ex. Saudi Arabia into global assets

The [IMF projections](#) suggest otherwise. While Saudi Arabia alone is expected to remain closer to the current account deficit, the wider GCC still looks highly relevant as a source of external savings. Excluding Saudi Arabia, the GCC – mainly the UAE, Qatar and Kuwait – is projected to run a combined current account surplus of roughly \$150bn per year over the next five years even under an oil price assumption of \$70-80 per barrel. That implies a cumulative surplus of around \$0.8tr through 2030 that will need to be allocated by the GCC ex. Saudi Arabia into global assets.

Excluding Saudi Arabia, the GCC will have \$0.8tr of current account surplus to allocate through 2030



Source: IMF, ING; * Russia doesn't match the export concentration criteria for IMF's EM Fuel Exporters aggregate

Current account balance for GCC and other EM fuel exporters*

...putting the sovereign funds' asset allocation in focus

Persistent current account surpluses suggest that the region is likely to remain important not only for trade invoicing, but also for the currency mix of global financial assets. In the GCC,

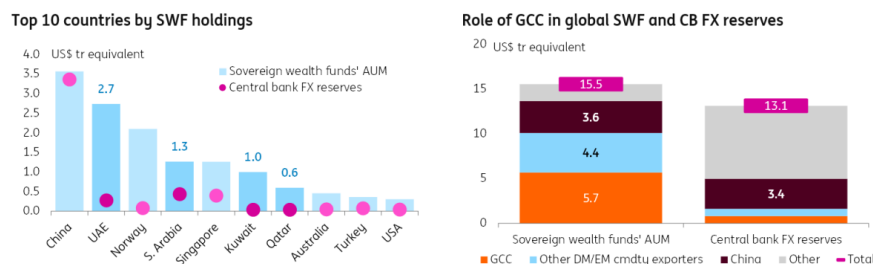
sovereign wealth funds are the key players. We have touched on this previously; in oil-producing economies, [sovereign funds](#) are often the dominant investors and can dwarf central bank reserve holdings.

Originally established to preserve and grow finite hydrocarbon wealth for future generations, Gulf sovereign wealth funds now hold combined assets under management of around \$6tr, which is over one third of the value of the [world's 100 largest sovereign funds](#).

Gulf sovereign wealth funds now hold combined assets under management of around \$6tr

Four of the six GCC countries are among the world's top 10 sovereign wealth fund holders, and the UAE hosts the largest combined SWF assets in the region with a combined value estimated at \$2.7tr. The GCC asset allocation choices matter for the future of the petrodollar no less than the currency of trade invoicing does.

The Gulf holds more than a third of world's sovereign wealth assets



Source: GlobalSWF, IMF, SWF Institute, media, national sources, ING

GCC is USD-heavy by global standards

So how dollarised is the GCC, and how much could that change? That is the trillion-dollar question, and the direct data is almost as scarce as it is for trade invoicing and settlement.

The GCC's influence is not especially visible in the IMF's [Currency Composition of Official Foreign Exchange Reserves \(COFER\)](#) data because the region's central bank reserves are relatively small compared with sovereign wealth funds, while sovereign funds are generally far less transparent than central banks about asset allocation. [US data on foreign holdings of Treasuries or broader US assets](#) is also of limited help, because they are heavily distorted by Europe's custodial role through financial centres such as the UK, the Benelux countries and Switzerland.

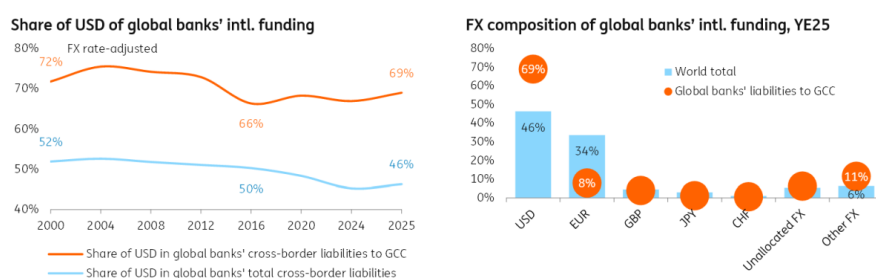
We therefore use an indirect proxy: the banking system's international balance sheet. BIS

locational banking statistics provide a [currency breakdown of global banks' liabilities to financial and non-financial sectors](#) in each reporting country. While this does not capture sovereign wealth funds directly, it still offers a useful window into the broader currency mix of external finance. By that metric, Gulf external finance remains much more dollar-heavy than the global norm. At the end of 2025, around \$0.6tr – or 69% of international assets linked to GCC financial and non-financial sectors – was denominated in US dollars, compared with a global aggregate of 46%.

Around 69% of international assets linked to GCC are denominated in US dollars, compared with a global aggregate of 46%

The GCC also appears underweight the euro, at roughly 8% versus a 34% global aggregate, while showing a somewhat higher preference for non-core currencies. Notably, the dollar share in the GCC's cross-border assets appears to have risen over the past decade, in contrast to the broader global trend.

GCC's external finance is highly dollarised by global standards

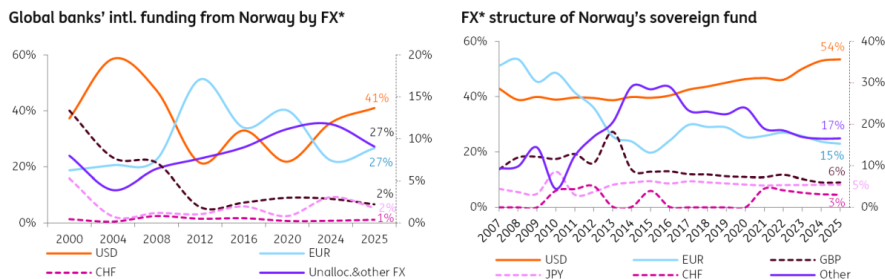


Source: BIS, Refinitiv, ING; * Pre-2025 shares recalculated according to FX rates as of YE25

It remains an open question as to how well BIS locational banking statistics proxy the currency composition of sovereign wealth funds, most of which are deliberately structured outside the domestic banking perimeter. Even so, there are reasons to take the signal seriously.

First, the dollar pegs in GCC countries naturally reinforce the dollar's role in both trade and capital flows. Second, Norway offers a useful cross-check because it publishes the currency composition of its sovereign wealth fund. There, BIS cross-border banking data does not replicate the sovereign fund allocations exactly, but it does capture the broad ranking of currencies relatively well; the US dollar is clearly dominant, followed by a group of non-core currencies and then the euro. That suggests the Gulf's above-average dollarisation in cross-border balance sheets is unlikely to be meaningless.

For Norway, BIS banking data is a good proxy for SWF FX structure



Source: BIS, NBIM GFPG, Refinitiv, ING; * Pre-2025 shares recalculated according to FX rates as of YE25

If the BIS GCC banking data broadly reflects sovereign wealth-fund preferences, this would imply that a very large stock of the Gulf's sovereign wealth is likely to be already allocated in dollar assets – at least \$4tr – alongside much smaller allocations to non-core currencies (\$0.6tr) and the euro (\$0.5tr).

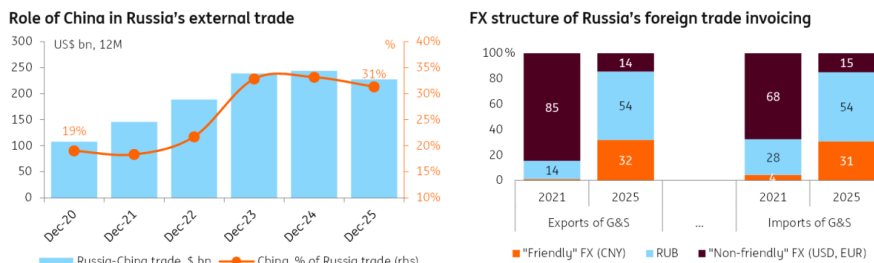
A very large stock of the Gulf's sovereign wealth – at least \$4tr – is likely to be currently allocated in dollar assets

What might Gulf de-dollarisation look like?

The next question is what the practical limits of Gulf de-dollarisation would be if the region were hypothetically to pursue it. This could be considered a stress test (not a forecast!) designed to illustrate the scale of any plausible change and the surrounding constraints.

Russia provides one extreme reference point. Since 2014, Russia's external trade and reserve mix has experienced a foreign policy-driven shift towards China and renminbi, and this process has accelerated rapidly since 2022 under the pressure of sanctions and reserve freezes. By 2025, the renminbi's share in Russia's external trade invoicing had risen to match China's 30-33% share in Russia's trade. In Russia's liquid sovereign savings, the renminbi also gained a dominant role because other reserve currency options had effectively been removed.

The yuanisation of Russia's foreign trade matches China's share in its exports and imports



Source: China customs, Bank of Russia, ING

The Gulf, however, is self-evidently not Russia. The geopolitical setting and scale are entirely different. A simple translation of Russia's experience into the GCC would therefore be misleading. At most, Russia offers a far-end reference for how far trade settlement can move when constraints are extreme, which, in the case of the GCC, would also match China's role in the region's external trade – currently around 20%. In an extreme case, up to \$300bn out of \$1.5tr in GCC's annual exports and imports turnover could be invoiced in RMB.

In an extreme case, up to \$300bn out of \$1.5tr in the GCC's annual exports and imports turnover could be invoiced in RMB

On the asset side, the constraints are even stronger. Existing GCC sovereign wealth fund assets are too large to be reallocated quickly. In practice, if de-dollarisation occurred at all, it would most likely show up through new allocations rather than through a large-scale restructuring of the existing stock.

With projected annual current account surpluses of roughly \$150bn, even a hypothetical reduction in new USD allocations below 70% of that sum, or \$100bn per year, would already represent a move toward de-dollarisation.

But that would still be very different from a rapid retreat from the dollar as the dominant store of Gulf wealth.

All of our discussion so far has centred on potential opportunities for the renminbi. Yet in [our previous research](#), we have been drawn to a multipolar currency world of dollars, euros, renminbi, and other non-core currencies. The prospect of GCC exporters notably shifting energy invoicing to euros looks limited, however. The euro area only comprises 11% of total GCC exports and imports, and there seems to be little appetite from Europe to challenge the role of the dollar in the oil sector. Europe has had some success with benchmark euro exchanges for gas and carbon. But oil is another market entirely.

Euro-denominated debt financing jumped 30% last year to a record \$1.1tr, led by international debt issuance

That said, Europe can and will focus on creating an attractive environment for international investors. While progress on Europe's Savings and Investment Union has been slow, the euro-area bond market did enjoy an encouraging year in 2026. Euro-denominated debt financing jumped 30% last year to a record \$1.1tr, led by international debt issuance.

While the commercial benefits of Reverse Yankee issuance certainly played a role, Debt Capital Market teams certainly noted more international interest in euro-denominated debt.

Stablecoins are another payment means in focus. Evidence of their use in energy invoicing remains highly speculative at this early stage. But most conclude that any uptake in this space would only cement dollar-centricity, since most stablecoins are backed by USD assets. For example, Tether is now the 17th largest holder of Treasury securities globally.

GCC in the global context: central but not exclusive

The Gulf is central to the petrodollar debate, but it is still only part of the global energy story. Even if invoicing patterns were to shift more visibly within the GCC, the global impact would still depend on how large the Gulf remains in production, exports and surplus generation relative to the rest of the energy world.

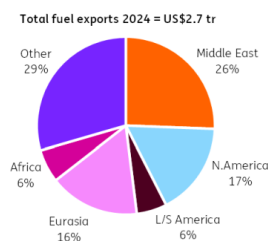
The Middle East accounts for around one-quarter of global fuel exports

The broader global energy system still includes large producers and exporters outside the Gulf, while the post-2022 energy shock has also increased the strategic role of the US as both an oil and LNG supplier. The entire Middle East now accounts for around one-quarter of global fuel exports.

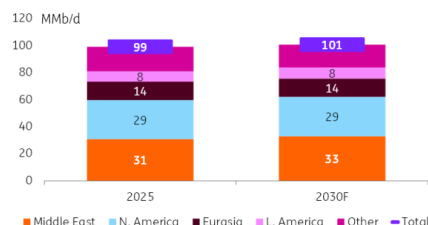
In that sense, the global energy map may have become more fragmented, but not necessarily less dollar-centred. According to the IEA's five-year projections, the more dollar-centric fuel production in the Americas is expected to retain its competitive global shares, especially in the oil segment, where North and Latin Americas combined are expected to retain c.38% combined share vs. 33% attributable to the Middle East.

Middle East accounts for around a quarter of global fuel exports, Americas will remain a strong competitor

Global fuel* exports by region



Oil production by region



Source: OEC, IEA, ING; * includes oil (48%), refined products (18%) and gas (18%)

That is why any credible petrocurrency argument needs to consider two things at once: first, whether the Gulf's own trade and savings become less dollar-based over time; and second, whether that shift is large enough to move the global aggregate in a material way.

Broader de-dollarisation: still slow

The petrocurrency debate is a valid part of the de-dollarisation story, with a potential focus on the UAE, which, following its [accession to BRICS+](#) and breakaway from OPEC, is targeting a material increase in global fuel supply. However, the evidence so far argues against rapid de-dollarisation in the global financial system. First, it's important to keep in mind that global fuel trade represents only around 10-12% of the global merchandise exports.

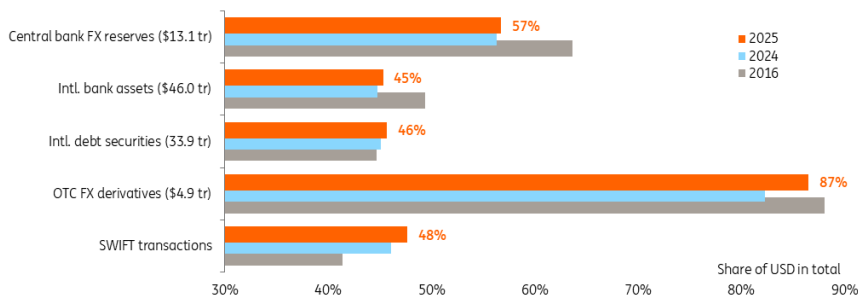
Global fuel trade represents only around 10-12% of the global merchandise exports

Second, the IMF finds that the [dollar remains dominant in global trade invoicing](#) and that there is no robust evidence of a broad move away from the dollar in oil exports. The ECB likewise shows that the [dollar and euro still account for more than 80% of global invoicing](#), while the renminbi remains small at the aggregate level.

This is important context for any potential shift in Gulf invoicing patterns. Even if some energy transactions become somewhat less exclusively dollar-based, that would not automatically translate into a comparable change in the global role of the dollar. The dollar's position is anchored in the international assets and liabilities of central banks and the private sector, as well as broader turnover of trade and financial flows.

The broader dollarisation metrics we track suggest that meaningful long-run diversification has been visible mainly on the asset side, and even their progress appears to have stalled in 2025. The lack of a large debt securities market outside USD and EUR segments is one of the obstacles for broader diversification.

Global de-dollarisation stalled in 2025, long-term trend seen on the asset side



Source: IMF, BIS, SWIFT, Refinitiv, ING; * pre-2025 shares recalculated according to FX rates as of YE25

Key indicators of USD's global role

This does not, however, mean that nothing is changing. More euro and renminbi settlement in parts of energy trade is plausible, and so is a world in which some Gulf savings are allocated somewhat less mechanically into dollar assets than in the past.

Market implications

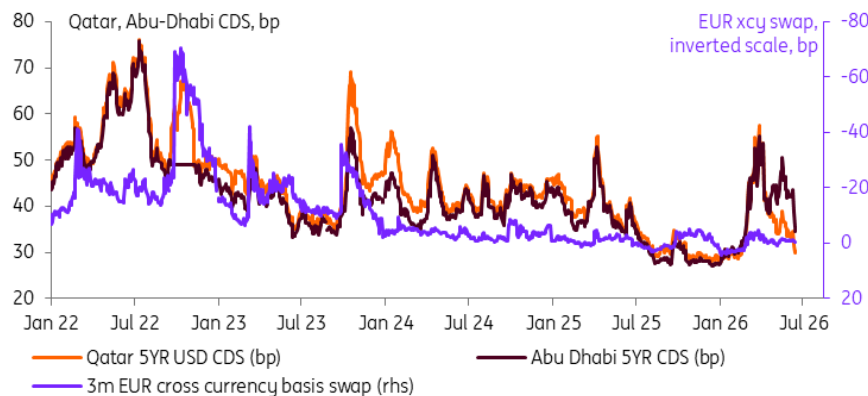
The network effects of having the dominant currency in international finance and invoicing are well publicised for the dollar. And a recent [ECB paper](#) calculated that of the 190bp 'convenience yield' earned by foreign investors in holding US Treasuries, 170bp was down to the attraction of the dollar. Clearly, GCC exporters continuing to earn and invest in dollars looks to be an important driver of the lower borrowing costs enjoyed by the US government.

Separately, during the crisis, we wondered whether developments in the Middle East were enough to impact global dollar funding conditions. For example, were GCC nations large enough international lenders of dollars – be that through wholesale funding or commercial paper markets – to see dollar borrowing conditions tighten?

In FX markets, stress in dollar liquidity normally emerges in the cross-currency basis swap market, where European lenders would be prepared to lend out euros through the swap market at below market rates ('the basis') in order to secure dollar funding.

Fortunately, events showed that during the peak of stress in March, the basis swap hardly budged at all, reflecting the resilience of dollar funding markets to a localised shock.

Dollar funding versus regional CDS



Source: Refinitiv, ING

The petrodollar story could be changing, but slowly. Recent tensions in the Middle East have revived interest in whether energy exporters and importers want more room to settle transactions outside the dollar, and some marginal diversification in that direction is plausible. China's rising role in Gulf trade and the gradual development of alternative payment infrastructure support that trend.

But this should not be confused with the rapid erosion of dollar dominance. The bigger issue is not only how energy is invoiced, but how surplus oil savings are stored. On that front, change also looks slow. The Gulf still generates large external surpluses, sovereign wealth funds remain central to recycling them, and the available balance-sheet evidence suggests that the region's external finance remains more dollar-heavy than the global average.

Our conclusion is that the euro and non-core FX, including the RMB, can create some competition for the dollar, both in settlement and in new allocations. But we do not see convincing evidence that de-dollarisation can be fast and easy. Based on broader global trends, the process looks gradual and faces structural constraints, leaving the dollar firmly at the centre of the global energy-finance system.

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Article | 17 June 2026

FX RATES UNITED STATES

Hawkish shift opens the door to Fed rate hikes

A clear hawkish shift from the Fed sees the committee split down the middle on whether they will hike rates or not this year. Sharp energy price falls are good news though, and we think an extended pause is the most likely outcome



The Federal Reserve left interest rates unchanged in Kevin Warsh's first meeting as Fed Chair

Markets acknowledge the prospect of higher policy rates

The Federal Reserve has left monetary policy unchanged at Kevin Warsh's first meeting as Chair. It was a unanimous decision given that arch-dove Stephen Miran had made way for Warsh to join the Board of Governors, while the clear adjustment to the tone of the much cut-down press release was sufficient to bring the three hawkish dissenters from May onside. In a message to leave no doubt in investors' minds over the inflation fighting credibility of the central bank, the statement concluded: "the Committee will deliver price stability".

The even more obvious hawkish shift was seen in updated Fed forecasts. The new "dot plot", has 9 of 18 members pencilling in a rate hike versus zero in March, which shows the Fed has gone well beyond signalling "two-way risk" on interest rates, to a clearly more hawkish position.

One member is, in fact, predicting three 25bp hikes over the coming six months; five members

are going for two hikes and three are going for one hike. Eight expect no change with just one forecasting a rate cut this year. There are only 18 dots versus the usual 19. As broadly expected, Kevin Warsh decided not to enter a prediction having said in the past that the Fed's record was "abysmal" and that he saw little value in it. He added at the press conference, "I can't give you any guidance on what we're going to do next."

As such, the median is now for one hike this year, but then a cut next year with a further cut in 2028 before settling at a 3.0-3.25% range over the longer term.

Fed projections versus the previous expectations from March

	2026	2027	2028	Longer run
Change in real GDP (4Q YoY%)	2.2	2.3	2.2	2.0
Previous Fed projection (Mar)	2.4	2.3	2.1	2.0
Unemployment rate (% year end)	4.3	4.3	4.2	4.2
Previous Fed projection (Mar)	4.4	4.3	4.2	4.2
Core PCE inflation (4Q YoY%)	3.3	2.5	2.1	-
Previous Fed projection (Mar)	2.7	2.2	2.0	-
Federal funds rate (year end)	3.8	3.6	3.4	3.1
Previous Fed projection (Mar)	3.4	3.1	3.1	3.1

Source: Federal Reserve, ING

The table above shows the Federal Reserve's updated median forecasts versus what they were saying in March. They are a little more upbeat on GDP growth for fourth quarter 2026 than the consensus (2.2% versus 2%), but more worried about inflation than the consensus (core PCE deflator at 3.3% versus the 3.1% consensus).

Kevin Warsh, appointed by a President demanding rate cuts, may well face some criticism after this. Nonetheless, his emphasis on needing to prevent second-round price effects will help to keep the long end of the yield curve anchored. This is, in fact, more important for the President's growth strategy by keeping a lid on mortgage and corporate borrowing costs while also limiting the upside for government interest costs.

An extended pause from the Fed remains our call

Markets are now pricing 32bp of rate hikes this year, with a cumulative 42bp by this time next year, versus 19bp and 33bp respectively ahead of the release. Nonetheless, we look for an extended pause of perhaps 12 months.

With a deal set to be signed imminently to reopen the Strait of Hormuz, energy prices have fallen sharply. \$76/bbl WTI oil is consistent with gasoline prices falling to \$3.75/gallon after having peaked at \$4.60. That should help lead to an outright month-on-month % drop in headline prices for June. It will also relieve pressure on airline fares and freight rates within the inflation data, while also easing the squeeze on household spending power.

While recent jobs numbers have been firmer, consumer confidence is rock bottom in an environment where real household disposable incomes are languishing. Consumer and market inflation expectations remain in tolerable ranges and slowing housing rents, weak wage growth and a waning influence from tariffs should, we believe, gradually ease the concerns of the Fed.

The Treasury curve shifts higher and flatter, but the curve structure remains benign

Impact reaction to the FOMC outcome was a flatter curve, led by the front end. That bit is straightforward, given the change in tone from the FOMC as a whole, and the upshift in the median dots. The 10yr yield is up, back to the 4.45% area, and rising. What's interesting is the breakout of this, as the breakeven inflation rate fell, while the real rate rose. The aggregate rise in the 10yr yield came from a bigger pop in the real yield versus the fall in breakeven inflation.

This has been a key theme in the past few months – ongoing upside to real rates, alongside falls in inflation expectations. In fact, breakeven inflation is on aggregate quite tame. Printed inflation is in the 4% area, while the 10yr breakeven is just under 2.3%. And in fact, breakevens remain tame right along the curve. Our bottom line view from all of this is that long-dated yields are liable to remain sticky to the upside (breakevens are already tame and real yields are on the rise, or at the very least holding steady).

The hawkish tilt is classically not good for the front end, and theoretically, it can be a calming influence for the back end, on a theory that the Fed is showing some preparedness to take action, if needed, to help tame inflation. The overall outcome of a flatter curve based on this is straightforward. We still worry that the 10yr yield can drift higher from here, to the 4.5% area and above. That said, the 5yr area has richened further slightly, showing the market is not fully bought in on rate hikes being a dominant theme in the coming quarters.

Beyond that, we had expected something on balance sheet management, but little to nothing on this. The bill-buying programme continues, and the ample reserves environment is sustained. It seems that the balance sheet reduction project is all being left to another day.

Dollar enjoys commitment to price stability

After this week's large fall in energy prices, FX markets probably went into today's FOMC meeting with a neutral bias. In the end, the outcome was clearly hawkish with a slimmed-down statement refocusing on price stability, a rate hike in the dot plot and a few references to the Fed having missed its inflation target for five years running.

The dollar took its cue from the 10bp bearish flattening in the US yield curve and rallied around 0.5% on the news that the Fed is prepped to tighten. Also welcome for the dollar is the read-out for US asset markets, where stability at the long end of the bond market and equities

reversing intra-day losses suggest buy-side investors appreciate the renewed commitment to price stability.

That commitment also serves to deflate interest in the dollar de-basement trade, which last year had seen gold, bitcoin and the likes of the Swiss franc rallying on the view that a captured Fed could go soft on inflation. That looks far less likely after today's FOMC meeting. Gold is off 2.5% on the news and USD/CHF up around 0.7%. These trends can extend.

A hawkish Fed can keep EUR/USD pressing 1.1500 this summer, with the risk of a temporary break lower should any US activity or price data briefly push market expectations towards 50bp of tightening this year. Japanese authorities must now be bracing for higher levels in USD/JPY – perhaps into the 162/163 area – before another round of intervention is due. But the already slim chance of effective dollar selling intervention just got slimmer.

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THINK economic and financial analysis

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Article | 19 June 2026

BELGIUM

Belgian housing market starts 2026 strong, but underlying dynamics soften

The Belgian housing market started 2026 on a strong footing due to lag effects from 2025, but underlying dynamics are weakening. Declining transactions, weaker mortgage demand and rising interest rates signal easing demand, reduced borrowing capacity and more moderate price growth ahead



Falling transactions, weaker mortgage activity and rising rates point to a cooling housing market in Belgium

Early 2026 strength driven by lag effects, as demand and financing conditions weaken

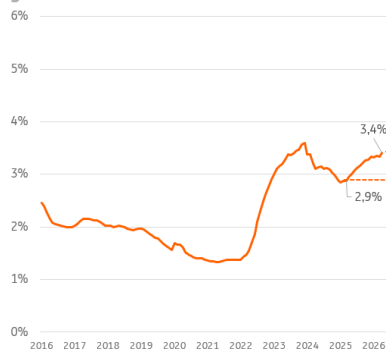
Following a strong 2025, with median prices for existing homes rising by 5.6% year-on-year, the first quarter of 2026 appeared robust. Prices increased by 2.0% compared to the previous quarter and were 2.4% higher than a year earlier. This strength should, however, be interpreted with caution. Notary data reflect the moment when deeds are signed rather than when transactions are agreed upon. As deeds are typically executed within four months, part of the activity recorded in early 2026 still stems from decisions taken in 2025. Looking ahead, we expect the underlying market dynamics to soften from the second quarter onwards.

Initial signals are already visible. The number of transactions declined by nearly 14% compared to the previous quarter and was almost 5% lower than a year earlier, pointing to weaker demand. At the same time, financing conditions have started to shift. According to the National Bank of Belgium, the average interest rate on mortgages with a fixed rate of at least 10 years edged up from 3.29% to 3.34% in the first quarter. Rates on variable loans declined slightly, resulting in a change in the composition of new lending. The share of long fixed-rate loans fell from 68% in January to 59% in April, while shorter fixed-rate products gained some ground.

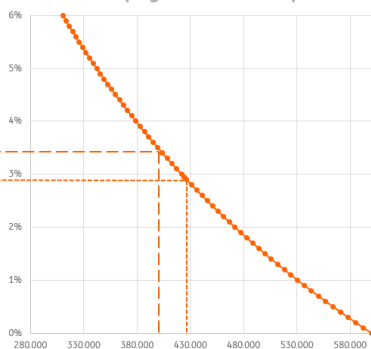
More recently, upward pressure on long-term interest rates, partly linked to higher inflation expectations due to the Middle East war, has pushed mortgage rates higher. By April, the average rate for loans with a fixed rate of at least 10 years had increased to 3.41%, up from 2.95% a year earlier. This rise has a tangible impact on borrowing capacity. For a monthly payment of €2,000 over 25 years, households can now borrow nearly €21,000 less than one year ago, narrowing the set of affordable properties and weighing on housing affordability.

Housing affordability is closely linked to financing costs

Belgian mortgage rate (fixed at least 10 years)



Borrowing capacity at every level of fixed interest rate (payment of 2000 per month)



Source: NBB, calculations ING

Mortgage activity signals cooling and points to more moderate price growth

This shift is already visible in mortgage lending, often an early signal of where the housing market is heading. In the first five months of 2026, the number of new mortgages was about 11% lower than a year earlier. Even if activity remains higher than in 2023 and 2024, the decline points to easing demand and more moderate price increases ahead.

In that sense, recent developments point to a cooling of price momentum, with price growth expected to continue at a more moderate pace. Median prices for existing homes are projected to increase by around 3.0% in 2026 and 2.5% in 2027, well below the strong growth recorded in 2025.

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Article | 19 June 2026

FX

FX Daily: US holiday offers Japan intervention window

The dollar has retained its post-Fed gains, keeping USD/JPY well bid. Today's US holiday may offer attractive liquidity conditions for new JPY FX intervention. In the UK, Andy Burnham secured a parliamentary seat and is widely expected to become the new Prime Minister in coming months. We have published a new EUR/USD forecast, expecting 1.18 by year-end



Today's US holiday creates a lower-liquidity backdrop, a window during which Japanese authorities have previously shown a preference to intervene

➔ USD: Eyes on USD/JPY given US holiday

The dollar's momentum remained strong for a full session after Wednesday's hawkish surprise. Overnight, DXY tested levels above 101.00, on track to have its best week since April 2024. We aren't at all convinced this is the start of a broader USD appreciation cycle. The US-Iran peace deal removes a bullish argument for the dollar, and our macro team still thinks [markets are overestimating](#) the chances of a Fed hike. But in the near term, the dollar may enjoy post-Fed enthusiasm for a bit longer, with markets probably keen to fully price two hikes by December at the first strong data print (39bp currently priced in).

In the coming days, focus will turn to Fedspeak and how strongly FOMC members are willing to back the hawkish dot plot. With forward guidance removed, markets have more room to reprice aggressively as US data are released, increasing the risk of volatility in both rates and FX.

Today's US holiday creates a lower-liquidity backdrop, a window during which Japanese authorities have previously shown a preference to intervene. USD/JPY is already deep into intervention territory after breaking above the 2024 highs yesterday. A lack of intervention today would leave scope for speculators to push towards 162-163 given the supportive USD environment.

Francesco Pesole

➔ **EUR: We have updated our forecasts**

We have published a new baseline and two alternative forecasts for EUR/USD, along with our [updated scenarios](#) for oil, gas, inflation and rates in the US and eurozone. We do see some upside risks for Brent after a potentially overdone selloff, but still expect it to stay below 90\$/bbl in the third quarter, allowing FX to keep desensitising from energy prices. In line with our dovish Fed call (no hikes) relative to pricing, we are expecting USD depreciation in the third and fourth quarters, albeit at a moderate pace. Our new year-end target for EUR/USD is 1.18.

Yesterday, ECB Chief Economist Philip Lane suggested the new neutral rate may be 2.50%, effectively suggesting another 25bp hike would still fall short of restrictive territory. But that is hardly surprising for a market that has been fully pricing a 50bp+ tightening cycle almost uninterruptedly since mid-March.

We are in an environment of rapidly shifting correlations, with oil prices becoming an almost irrelevant driver and Fed rate expectations aggressively taking over. That reduces the explanatory power of valuation models, although it's still worth mentioning that ours returns a 1.160 short-term fair value for EUR/USD. But for now, EUR bulls will likely be content if the pair holds above 1.140.

In other European markets, we had two rate holds in Switzerland and Norway yesterday. We still [expect the Swiss National Bank](#) to keep rates at 0.0% for at least another two years, while [we forecast a 25bp Norges Bank rate hike](#) in August.

Francesco Pesole

➔ **GBP: Burnham widely expected to become new PM**

Mayor of Greater Manchester, Andy Burnham, has secured a parliamentary seat – and therefore a path to bid for the role of Prime Minister – after winning the Makerfield by-election as widely expected.

In the coming days, we might already see some cabinet resignations aimed at pressuring PM Keir Starmer to step down and speed up a transition to Burnham. The alternative is a lengthier leadership challenge. Anyway, betting markets – and likely the investor community – have a very high conviction that Burnham will become PM by the end of the summer.

The lack of any political risk premium in the pound over the past month suggests markets have grown increasingly assured that Burnham won't upset the gilt market with his fiscal plans. Still, the bar has been low since 2022 for GBP and gilts to react negatively to fiscal headlines, and we are adding that as an upside risk in our generally bullish view on EUR/GBP. Still, our view rests primarily on our call for no Bank of England hikes, with [yesterday's rather uneventful meeting](#) reinforcing our conviction.

Francesco Pesole

CZK: CNB hiked rates for first time since 2022

The Czech National Bank board voted six-to-one in favour of a rate hike yesterday, taking the policy rate to 3.75% from 3.50%, in line with expectations. The governor's press conference did not provide too much guidance on the next meeting, and we did not hear any specific reasons for why the CNB hiked rates – though its focus is clearly on core inflation and credit growth. Our baseline is that the CNB is now done, but the bar for another hike appears relatively low. Core inflation in June and July will probably be decisive for further policy decisions and for markets, even as headline inflation is expected to fall below 2% in June.

The market reaction was rather muted, but if anything, somewhat dovish. The governor was perhaps hawkish compared to recent press conferences but dovish relative to market pricing. The market is still pricing in one more hike in the coming months. However, the entire curve flattened further, and we expect this trend to continue. EUR/CZK was driven more by a stronger US dollar yesterday after the Fed decision, but the koruna still managed to outperform its CEE peers. This outperformance should continue relative to Poland's zloty in the coming weeks, but it seems it is not enough for the koruna to test levels below 24.100 for now, as we had expected previously.

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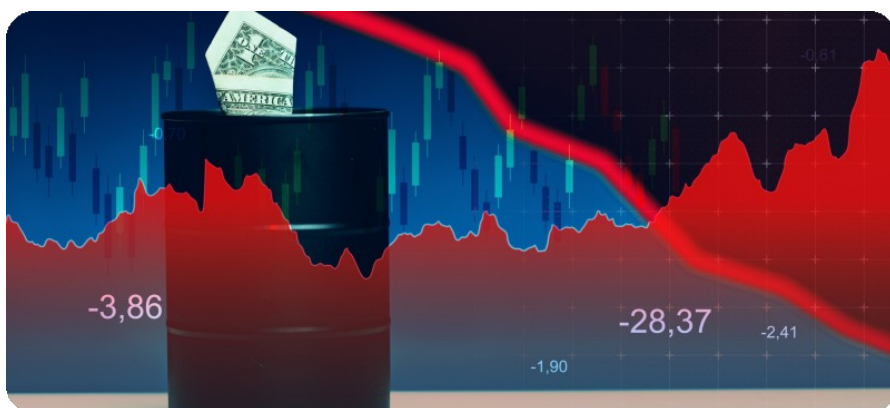
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Article | 19 June 2026

RATES SPARK

Rates Spark: Hawkish sentiment helps the long end stay anchored

Despite lower oil prices, markets are holding onto the prevailing hawkish narrative, limiting the downside risks to rates. Hawkish central bank pricing actually helps contain the upside risks to longer rates, as long-term inflation expectations are kept well-anchored to 2%



Markets are holding onto a hawkish narrative, despite the sharp drop in oil prices

No reason for the ECB to fight the hawkish market sentiment

Oil prices are settling on lower levels with the [Memorandum of Understanding](#) having been signed. While it is only the start of a lengthy negotiation process, market optimism seems to outweigh any lingering concerns for now.

Central bank rate expectations had already started to decouple from the level of oil prices earlier, but Thursday did see the floor that markets see for the European Central Bank rate reasserting itself. Despite oil marking its lowest price since the beginning of March, money markets continue to firmly price in another hike from the ECB to be delivered in September or October.

The hawkish shift from the Fed the night before did spill over, but the decoupling had started earlier, with ECB officials maintaining a hawkish tone after the ECB meeting despite the easing geopolitical situation. The latest prominent official to do so was the ECB's Chief Economist Philip Lane, who suggested that the estimate of the neutral rate had shifted higher towards 2.5%. This would imply that the economy could well withstand another increase in the policy rate as the ECB still foresees "a prolonged period of above-target inflation" despite energy prices already coming down. Separately, Pierre Wunsch cautioned today that a second hike

would be possible to "be on the safe side".

Uncertainty on the geopolitical front remains, and the ECB might be reluctant to change its direction having just delivered a rate hike. Sticking to more hawkish communication also ensures that higher market rates will continue to do their part in containing inflation.

Lower long-term inflation expectations are helping to contain 10Y UST yields

Longer rates are showing an interesting dynamic. As inflation expectations remain low, real rates are holding at higher levels. Of course, this is also a pattern we have observed in the past and more prominently in the US, where the macro backdrop has proven surprisingly resilient overall. But it appears that Kevin Warsh's first meeting as Fed Chair has calmed some fears that he is a Trump-installed dove.

It is still early days for him, but as we have pointed out, the central bank's credibility is ultimately what helps control the long end. Even now 10y US Treasury yields are only marginally higher compared to where they were going into the meeting, with the decline in inflation swaps having balanced out the rise in real rates. It appears President Donald Trump is better served by the Fed Chair firmly keeping an eye on the inflation mandate.

Friday's events and market view

In the UK, eyes will be on Gilts given Andy Burnham's decisive win in the Makerfield by-election, paving the way to a challenge to Prime Minister Keir Starmer's premiership. There are only a few data points to watch following the UK retail sales in the morning. The US is on holiday for 'Juneteenth', leaving the main focus on a still busy slate of ECB speakers. We will hear from Chief Economist Lane again, but there will also be speeches by José Luis Escriva, Piero Cipollone, Frank Elderson and Emmanuel Moulin.

In primary markets, Italy will conclude its sale of the BTP Italia Si retail bond for which the Tesoro has already collected orders of close to €8bn so far this week.

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Article | 19 June 2026

COMMODITIES DAILY

The Commodities Feed: Oil declines as Strait of Hormuz begins to normalise

Oil prices are on track for a sharp weekly decline, as shipping flows through the Strait of Hormuz begin to normalise and disruption concerns ease



Oil's recent moves follow the start of normalisation in shipping through the Strait of Hormuz, easing what had been the largest recent disruption to global crude flows

Energy - Oil falls on expectations of supply normalisation

Oil prices are on track for a weekly decline, with NYMEX WTI down more than 10% versus last week's close. The move follows the start of normalisation in shipping through the Strait of Hormuz, easing what had been the largest recent disruption to global crude flows. Tankers previously stranded are resuming transit, with around 10m barrels exiting or moving through the strait. This remains below typical flows of around 20m b/d, but the gap should narrow quickly as production recovers. Kuwait is already signalling a gradual restart.

At the same time, OPEC's latest World Oil Outlook maintains a constructive long-term demand outlook, driven by growth in Asia, the Middle East, Africa, and Latin America. And an expected balance among energy security, affordability, and climate goals. This contrasts with the International Energy Agency's view, which points to an eventual decline in global oil demand.

Refined product data from Insights Global shows ARA stocks fell by 36kt week-on-week to

4.5mt (week ending 18 June). Gasoline led declines, down 97kt to 1.04mt and remaining below the five-year average. This was partly offset by builds elsewhere: gasoil (+23kt to 1.8mt), jet fuel (+12kt to 547kt), naphtha (+17kt to 469kt, highest since April), and fuel oil (+9kt to 582kt). Concerns around summer supply availability persist.

In Singapore, total product inventories rose by 850k barrels to 35.3m, driven by builds in middle distillates and residual fuels, while light distillates fell by 633k barrels.

In gas, Henry Hub futures rose 2.8% after the Energy Information Administration reported a smaller-than-expected storage build of 73bcf (vs. 78bcf expected). Inventories stand at 2.76tcf, slightly below last year but above the five-year average. Stronger LNG exports are tightening domestic balances, although higher production continues to cap upside.

Metals - Copper under pressure

LME copper prices fell around 1% yesterday, reversing earlier gains after Fed Chair Kevin Warsh signalled a more hawkish stance. Markets now fully price in a 25bp rate hike by October, with tighter policy expectations offsetting the earlier risk-on move following the US-Iran interim agreement. Higher rates weigh on copper through a stronger dollar and higher financing costs.

Market participants are also awaiting President Donald Trump's decision on potential tariffs on refined copper. They could reshape trade flows, shift inventories, and widen regional price differentials.

Precious metals extended losses, with gold and silver down more than 3% and 10%, respectively, over the past two days. Spot gold is holding near \$4,130/oz, while silver remains below \$64/oz, both pressured by the Fed's hawkish shift. Higher rate expectations continue to weigh on non-yielding assets via a stronger dollar and higher opportunity costs.

Agriculture - Cocoa prices slump on weaker demand

Cocoa prices came under pressure, with New York futures falling up to 4%. This was driven by a stronger US dollar and rising US inventories, signalling softer demand. ICE-certified stocks at US ports rose by 31.8k bags for a ninth consecutive session to 575k bags (as of 17 June). The stronger dollar added further downside by making cocoa more expensive for non-US buyers.

US soybean export sales rose to 729kt (week ending 11 June), up from 352.8kt the previous week and above expectations, supported by potential Chinese demand. Corn exports reached 1,676kt, down week-on-week but still above expectations and last year's levels. US wheat shipments came in at 427.7kt, lower than the previous week but slightly ahead of expectations and marginally above last year.

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Article | 19 June 2026

ASIA WEEK AHEAD CHINA JAPAN

Asia week ahead: Tokyo CPI and effects of easing geopolitical risks in focus

Tokyo inflation is the data highlight of the week. But the main event will be gauging how easing geopolitical tensions and a strong tech boom boost sentiment. Price pressures are likely to accelerate amid higher energy prices and firming demand-side pressures



Asia Research highlights of the week

[What the US-Iran peace deal means for Asia | articles | ING THINK](#)

[Iran peace deal not enough to halt tightening in the Philippines and Indonesia | snaps | ING THINK](#)

[Bank of Japan raises rates to 1%, and will end tapering next year | snaps | ING THINK](#)

[Reserve Bank of Australia holds steady, and its tone remains even-handed | snaps | ING THINK](#)

[Disappointing Chinese domestic data could add to pressure for fresh stimulus | articles | ING](#)

[THINK](#)

Japan: Government measures keep inflation below 2%

Tokyo's June consumer price index is the key release next week. We expect headline inflation to rise modestly to 1.7% year-on-year. The government's price cap on gasoline and renewed utility subsidies should keep inflation below 2%. Yet, JPY weakness and second-round effects from higher energy prices should add to inflationary pressures on both goods and services prices.

China: A quiet week after the May data dump

China updates its loan prime rates on Monday. Both 1-year and 5-year loan prime rates will remain unchanged at 3.00% and 3.50%, respectively. No major data releases are expected from China, following the recent data dump showing the domestic economy slowing further in May.

Taiwan: Export orders, IP to show continued strength amid tech boom

Taiwan releases export orders data on Tuesday. We expect May export orders to continue their strong run, rising to 50.7% YoY. On Wednesday, we look for industrial production to remain little changed at 14.2% YoY. Growth is likely to remain heavily imbalanced, tilted toward semiconductors and computers and electronic products.

South Korea : easing political tensions, strong tech to boost confidence

South Korea releases consumer and business sentiment data, likely showing an improvement amid easing geopolitical tensions and strong performance in the tech sector. Consumer sentiment could rise further toward historical highs, supported by equity market rallies and government cash-payout programs. Business surveys should also advance, though with manufacturing showing a somewhat stronger gain than non-manufacturing sectors. The recent US-Iran peace deal is likely to improve confidence, with positive implications for household consumption and investment.

Singapore: Price pressures expected to accelerate

After a softer April print, Singapore's headline CPI is expected to pick up in May. This would mainly reflect elevated food prices and the lagged pass-through of prior fuel price increases. Core inflation should accelerate as well, highlighting robust underlying demand conditions amid strong economic growth.

Key events in Asia next week

Country	Time (GMT+8)	Data/event	ING	Prev.
Monday 22 June				
China	0915	Jun Loan Prime Rate 1Y	3	3
	0915	Jun Loan Prime Rate 5Y	3.5	3.5
Tuesday 23 June				
Japan	0830	Jun S&P PMI Composite Flash	52	51.1
	0830	Jun S&P Manufacturing PMI Flash	55	54.5
	0830	Jun S&P Service PMI Flash	50.5	50
Australia	0700	Jun Judo Bank Manufacturing PMI Flash	-	50.7
	0700	Jun Judo Bank Services PMI Flash	-	48.7
	0700	Jun Composite PMI Flash	-	48.7
Indonesia	1100	May M2 Money Supply (YoY%)	-	9.2
Singapore	1300	May Core CPI (YoY%)	1.6	1.4
	1300	May CPI (YoY%)	2.1	1.8
Taiwan	1600	May Unemployment Rate (%)	-	3.3
	1600	May Export Orders Growth (YoY%)	50.7	48.1
South Korea	0500	Jun Consumer Sentiment	110	106.1
Wednesday 24 June				
Australia	0930	May Inflation Rate (MoM%/YoY%)	-/-	0.4/4.2
Taiwan	1600	May Industrial Output (YoY%)	14.2	14.2
Thursday 25 June				
Japan	1300	Apr Leading Indicator Revised	-	115.9
Australia	0930	May Unemployment Rate (%)	-	4.5
Philippines	1600	May Budget Balance (PHP bn)	-	31.4
South Korea	0500	Jun Composite Business Survey Mfg	102	100.8
	0500	Jun Composite Business Survey Non-Mfg	99	97.5
Friday 26 June				
Japan	0730	Jun Tokyo CPI (YoY%)	1.7	1.4
	0730	Jun Tokyo Core CPI (YoY%)	1.7	1.3
India	1930	FX Reserves (USD bn)	-	682.3
Singapore	1300	May Manufacturing Output (MoM%/YoY%)	-/-	5.8/17.6

Source: Refinitiv, ING

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Article | 18 June 2026

FX NORWAY

Prospect of August hike in Norway can help the krone

After today's hawkish hold, we expect Norges Bank to deliver a 25bp hike at the August meeting, in line with its preference to front-load tightening and amid still-elevated underlying inflation. This should lend some support to NOK, especially against other high-beta currencies, although external drivers are likely to stay dominant over the summer



We wouldn't expect policymakers to close the door to further tightening when hiking in August, so risks remain slightly on the upside for NOK front-end rates this summer

A hawkish hold today

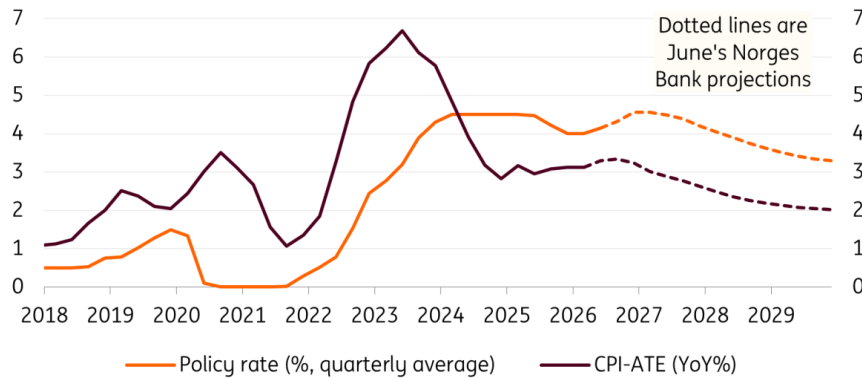
Norges Bank delivered no surprise today, holding rates at 4.25%. As we [expected](#), the communication was hawkish, with a clear signal that rates will likely need to rise again at one of the next few meetings.

Accordingly, the new rate projections show an average of 4.32% in this year's third quarter and 4.55% in the fourth. This fully prices in a 25bp hike in the third quarter, with roughly equal odds for August or September, and implies around a 20% probability of a further move between the final quarter of 2026 and the first quarter of 2027.

In our view, the key to the current policy stance in Norway is that inflation concerns predate

this spring's energy price volatility. We expect Norges Bank to remain mostly focused on bringing underlying inflation (CPI-ATE) sustainably back below 3.0% (currently 3.4%). In its latest projections, that is only achieved in the second quarter of 2027.

Norges Bank signals more tightening in new rate projections



Source: Norges Bank, ING

One last hike in August

Our call is for a 25bp hike in August. While CPI-ATE has been jumpy of late, it should stay above 3.0% in the next two months (June and July prints), and Norges Bank has shown a preference to front-load tightening.

At this stage, we see the August move as the end of the cycle. Norges Bank is likely to remain mindful of overtightening risk, while a period of softer energy prices should help reduce concerns about persistent inflation.

That said, risks remain skewed to the hawkish side, as there is a non-negligible chance that policymakers are underestimating second-round effects. Norges Bank also tends to be sensitive to interest rates abroad. Should the Federal Reserve or European Central Bank hike more than once this year, it would face both direct hawkish pressure and indirect pressure via potential krone depreciation, raising imported inflation concerns.

NOK can outpace other high-beta currencies

Market pricing roughly replicates Norges Bank's latest rate projections: 15bp for the August meeting, 27bp for September, and 30bp for December. As we wouldn't expect policymakers to close the door to further tightening when hiking in August, we think risks remain slightly on the upside for NOK front-end rates this summer. That is, assuming pricing for the Fed does not turn materially dovish, bringing other countries' rate expectations lower.

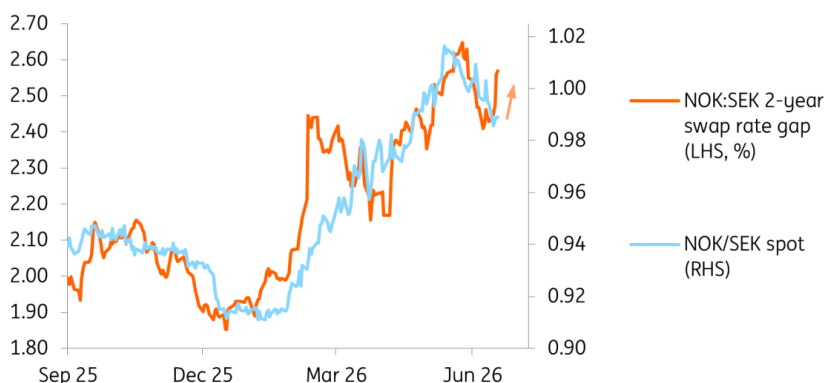
Norges Bank's hawkish stance is a positive factor for NOK. We expect it to be particularly visible

against currencies with similarly high beta to risk sentiment but more dovish central banks. We see good upside potential for NOK/SEK and downside potential for CAD/NOK.

In EUR/NOK and USD/NOK, external drivers should remain dominant. Our view is that oil prices are close to bottoming out, but the hawkish Fed poses a risk for less-liquid/high-beta currencies.

Still, we retain a downside bias on EUR/NOK, and expect a return below 11.00 this summer and further gradual decline towards 10.60 into early 2027 as fundamentals and carry should emerge as positive NOK drivers.

Policy differential points up for NOK/SEK



Source: ING, Refinitiv

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